



Organization Analysis
Pakistan Software Export Board
(PSEB)

Team #06

Section: BDS-4A

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Executive Summary:

The Pakistan Software Export Board (PSEB) is a government agency in Pakistan responsible for promoting and developing the IT industry in the country. It operates under the Ministry of Information Technology and Telecommunication and is tasked with creating a favorable environment for IT companies to grow and prosper.

PSEB provides a range of services to local IT companies, including funding and investment opportunities, training and development programs, and assistance with international marketing and business development. The agency also facilitates collaboration between IT companies and other industries, as well as the government and educational institutions.

The key stakeholders of PSEB are IT companies and professionals, the government, educational institutions, and foreign investors. PSEB's functionaries include the board of directors, managing directors, and various departmental heads.

The scope of PSEB's work includes promoting the IT industry, providing incentives and support to local companies, developing infrastructure and talent, and attracting foreign investment. The benefits of PSEB's work include increased employment opportunities, economic growth, and a positive international image for Pakistan's IT sector.

Introduction:

Pakistan Software Export Board (PSEB) is also known as the National IT Expert Board of Pakistan). It was established as a government agency to promote and develop the IT industry in Pakistan. It is responsible for creating an environment that enables local IT companies to compete globally. In this report, we will explore the functions, key stakeholders, functionaries, scope, and benefits of the PSEB.

History:

The Government of Pakistan through the Ministry of Information Technology and Telecommunication developed Pakistan Software Export Board (PSEB). The federal cabinet approved its establishment in 1995. Various government officials and industry experts have overseen the PSEB's development and evolution over the years.

The first chairman of PSEB was Mr. Ataullah Shah, who served in the capacity from 1995 to 1997. The current managing director of PSEB is Mr. Osman Nasir.

Evolution:

Over the years, PSEB has played a key role in facilitating the growth of the IT industry in Pakistan through various initiatives and programs. In the early years, PSEB focused on providing infrastructure and regulatory support to IT companies in Pakistan.

In the mid-2000s, PSEB shifted its focus towards developing the human resource capabilities of the IT industry in Pakistan. It launched various training and capacity-building programs to enhance the skills of IT professionals in the country. It also initiated collaboration with leading international organizations to bring best practices.

In recent years, PSEB has focused on promoting entrepreneurship and innovation in the IT industry. It has launched various initiatives to support startups and promote innovation in the industry. It has also played a key role in promoting cross-border trade in IT services and creating new opportunities for Pakistani IT companies in international markets.

Functions:

There are multiple functions performed by PSEB that have enhanced Pakistan's image in the IT world. Its functions include:

- PSEB's primary function is to promote and develop the IT industry in Pakistan. To achieve this goal, PSEB provides a range of services to local IT companies, including funding and investment opportunities, training and development programs, and assistance with international marketing and business development. PSEB also facilitates collaboration between IT companies and other industries, as well as the government and educational institutions.
- One of the key services provided by PSEB is financial assistance to IT companies. The agency provides grants, loans, and other forms of financial support to help local companies grow and develop. PSEB also offers training and development programs to IT professionals to enhance their skills and knowledge.
- Plans and developments of "Software Technology Parks" and "IT Parks" throughout Pakistan.
- Registration and facilitation of the establishment of new IT companies and call centers in Pakistan.
- The impact of public policy in the IT industry of Pakistan.
- PSEB is also responsible for attracting foreign investment to Pakistan's IT industry. The agency works closely with foreign investors and IT companies to promote Pakistan as an attractive destination for IT outsourcing and investment.

Scope:

The scope of PSEB's work includes promoting the IT industry, providing incentives and support to local companies, developing infrastructure and talent, and attracting foreign investment. PSEB is responsible for creating an environment that enables local IT companies to compete globally. To achieve this, PSEB

offers a wide range of services and programs to support the growth and development of the IT industry in Pakistan.

One of the key areas of focus for PSEB is promoting Pakistan as an attractive destination for IT outsourcing and investment. The agency works closely with foreign investors to identify potential investment opportunities in Pakistan's IT industry. PSEB also provides support to local companies to help them develop their products and services to meet the needs of international clients.

Another area of focus for PSEB is the development of infrastructure and talent. The agency works closely with educational institutions to provide training and development programs to IT students and professionals. PSEB also works with the government to develop policies and initiatives that promote the growth of the IT industry in Pakistan.

Functionaries:

PSEB's functionaries include:

- The board of directors
- Executive Management Team
- Various departmental heads.
- Employees

The board of directors is responsible for setting the agency's policies and direction. The managing director is responsible for overseeing the agency's day-to-day operations and implementing the board's policies.

The departmental heads are responsible for implementing the agency's programs and initiatives. PSEB has various departments, including finance, human resources, marketing, and training and development.

Initiatives & Programs:

PSEB has launched various initiatives and programs to promote and support the growth of Pakistan's IT industry. Following are some of the initiatives and programs:

- IT industry support program.
- Women in IT.
- IT Talent Development Program.
- Pakistan Digital Skills Program.
- IT Export Awards

Overall, it aims to create a supportive ecosystem for the advancement of the IT industry in Pakistan and position the country as a leading destination for IT services.

How PSEB is promoting Pakistan as an Attractive Destination for IT and Technology Investments.

Infrastructure and Talent Pool

- 3G, 4G, and high-speed internet
- Growing gig-economy and 4th highest rank for freelancers
- Over 25,000 IT graduates annually and a workforce of 500,000+ IT & ITeS professionals
- 300,000 active freelancers
- Tax benefits and ease of doing business in Pakistan

Talent Pool

- 600,000+ English-speaking IT & BPO professionals
- Expertise in current and emerging IT products and technologies
- Over 25,000 IT graduates and engineers produced annually

Investment Opportunities

- Entrepreneurial culture and emerging startups in Pakistan
- 80% teledensity and one of the highest digitally connected economies worldwide
- Rising talent of young engineers and IT specialists
- \$77 million raised in venture financing in 2020 and another \$500 million available

Infrastructure for Expansion

- Provision of low-cost rent space in Software Technology Parks (STPs)
- Fiber-optic connectivity in designated STPs in Islamabad/Rawalpindi, Lahore, and Karachi
- Around 80 public and private IT / ITeS companies engaged in software development and export services in designated STPs
- Annual cost of a software engineer resource is one fifth that in the USA and Europe.

Ecosystem of Pakistan IT Industry

Pakistan's IT industry is an established destination for outsourcing and investment, with expertise in various IT services, such as software development, systems integration, mobile apps, gaming, and BPO services. The sector has experienced exponential growth over the last five years, with a growth rate of 137%. The younger population's preference for running their entities has increased the number of IT companies, with solid government support for the industry's growth. Pakistan's IT industry counts the world's largest entities among its clients and provides services to 120 countries globally. Investment opportunities abound for local and foreign investors in various IT-related ventures.

According to the Security and Exchange Commission of Pakistan (SECP), the IT industry has the potential to become Pakistan's largest foreign exchange earner. The number of IT companies registered with SECP has surged to over 10,000, making it the second largest sector in Pakistan's economy after trading. Most of these companies are SMEs, with a majority being private limited or single-member companies. The majority of registered IT companies are located in Lahore, followed by Islamabad, Rawalpindi, and Karachi. The trend of IT company registration is expected to continue with efforts to expand Pakistan's tech ecosystem beyond these cities.

GovTech

The PSEB (Pakistan Software Export Board) has played a significant role in promoting the growth of the GovTech sector in Pakistan. It has helped in organizing various events, training programs, and workshops to educate the public sector entities about the latest technological advancements and their benefits. The PSEB has also encouraged local IT companies to develop state-of-the-art GovTech solutions and provided them with various incentives and support. Furthermore, PSEB has worked to promote the GovTech industry on international forums and has helped Pakistani IT companies to showcase their products and services to a global audience. This support from PSEB has played a crucial role in the growth of the GovTech sector in Pakistan.

Skilled Workforce

PSEB has taken several initiatives to promote IT education in Pakistan, such as the National ICT Internship Program, which provides internships to IT graduates in IT companies to enhance their skills and give them practical exposure to the industry.

Moreover, PSEB has also launched the National IT Skills Development Program, which focuses on providing IT training to students and professionals from all backgrounds, including those from remote areas of Pakistan. This program aims to enhance the IT skills of the workforce to meet the requirements of the IT industry.

PSEB has also established IT parks and software technology parks in different cities of Pakistan to provide infrastructure facilities to IT companies. These facilities include IT labs, training centers, and business incubation centers. These parks provide an environment for IT companies to work and collaborate, which enhances the growth of the IT industry in Pakistan.

Furthermore, PSEB has also played a significant role in promoting entrepreneurship in the IT industry through various initiatives such as the Technology Incubation Center (TIC) Program. TIC provides support to IT startups by providing them with office space, training, and mentorship to help them grow and succeed. PSEB has also organized various events and conferences to promote IT entrepreneurship and to connect IT startups with investors.

How PSEB is Helping Companies to flourish

1. **Systems Limited:** Founded in 1977, Systems Limited is a leading IT services and solutions provider in Pakistan. The company has received various certifications and awards, including the ISO 27001 and CMMI Level 5 certifications. PSEB has provided Systems Limited with support in the areas of international marketing and business development, helping the company expand its global reach and increase its export revenues.
2. **Netsol Technologies:** Netsol Technologies is a software development company that specializes in providing solutions for the asset finance and leasing industry. The company was founded in

1997 and has offices in Pakistan, the United States, the United Kingdom, Thailand, and Australia. PSEB has helped Netsol Technologies by providing support in the areas of training and capacity building, helping the company develop its workforce and enhance its technical capabilities.

3. Teradata: Teradata is a global leader in data analytics and marketing applications. The company has been operating in Pakistan since 1995 and has a strong presence in the country's IT industry. PSEB has helped Teradata by providing support in the areas of policy advocacy and regulatory affairs, helping the company navigate the complex regulatory environment in Pakistan and promoting the growth of the IT industry in the country.
4. Techlogix: Techlogix is a software development company that provides custom solutions for various industries, including banking, healthcare, and retail. The company was founded in 1996 and has offices in Pakistan, the United States, and the United Kingdom. PSEB has provided Techlogix with support in the areas of international marketing and business development, helping the company expand its global footprint and increase its export revenues.

Benefits:

The benefits of PSEB's work are numerous. The agency's efforts have helped to increase employment opportunities in the IT sector, which has contributed to economic growth in the country. PSEB has also helped to improve Pakistan's international image as a destination for IT outsourcing and investment.

PSEB's work has also helped to create a more favorable environment for local IT companies to grow and prosper. By providing financial assistance, training and development programs, and other forms of support, PSEB has enabled local companies to compete with their international counterparts.

Challenges:

Every organization encounters challenges on its path to reaching its destination. PSEB also faces several challenges in its mission to promote the growth of Pakistan's IT industry. Some of them are:

- Limited access to finance.
- Skills gap
- Infrastructure challenges.
- Lack of awareness and exposure.
- Political instability.
- Security concerns.

Key Stakeholders:

The key stakeholders of PSEB are:

- Pakistan software companies and IT firms.
- IT professionals and workforce.

- Government of Pakistan.
- Educational institutions offering IT & computer science programs.
- Local and Foreign investors.
- Customers and end-users of Pakistani software products and services.
- Partner organization and service provider.
- Media and press.

IT companies and professionals are the main beneficiaries of PSEB's services. PSEB provides them with the necessary support and infrastructure to help them grow and develop.

The government is another key stakeholder of PSEB. The agency operates under the Ministry of Information Technology and Telecommunication and is responsible for implementing the government's policies and initiatives related to the IT industry.

Educational institutions are also important stakeholders of PSEB. The agency works closely with universities and colleges to provide training and development programs to IT students and professionals.

Foreign investors are also key stakeholders of PSEB. The agency is responsible for promoting Pakistan as an attractive destination for IT outsourcing and investment. PSEB works closely with foreign investors to provide them with the necessary support and infrastructure to invest in Pakistan's IT industry.

Future Plans and Vision:

PSEB's plans and vision are centered on further strengthening and expanding the IT industry in Pakistan. It aims to attract more foreign investment, enhance the quality of human resource capabilities, and foster innovation and entrepreneurship in the industry. It plans to continue to promote cross-border trade in IT services and position Pakistan as a leading destination for IT companies. Additionally, PSEB aims to create an ecosystem that encourages, supports startups, and provides a favorable business environment for the industry.

Visiting Report:

On April 5, 2023, our group visited the Pakistan Software Export Board (PSEB) office, located in Shaheen Complex. As we entered the building, we were asked to provide the CNIC number of one of our group members, which was recorded along with the name of the office we intended to visit. We proceeded to the 5th floor where the PSEB office was located.

As we entered the office, we noticed two women working diligently at their desks. We approached one of them and explained the purpose of our visit. However, we were informed that, as a national entity, they could not provide any information related to the organization without an official documented signed letter from the Head of Department.

Unfortunately, we had to leave without achieving our objective. However, before departing, we took a picture outside the office with a small board bearing the symbol of PSEB.



Conclusion:

In conclusion, the Pakistan Software Export Board (PSEB) is a government agency responsible for promoting and developing the IT industry in Pakistan. PSEB offers a wide range of services and programs to support the growth and development of the IT industry in the country. The agency's efforts have helped to increase employment opportunities, promote economic growth, and improve Pakistan's international image as a destination for IT outsourcing and investment. PSEB's work is essential for the continued growth and success of the IT industry in Pakistan.



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